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U.S. Department of Justice



Two Charged in \$227M Medicare Fraud Scheme

Thursday, May 22, 2025

For Immediate Release

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An Illinois man and a foreign national were arrested yesterday on criminal charges related to their alleged submission of more than \$227 million in fraudulent claims to Medicare.

According to court documents, Syed Murtuza Kablazada, 34, of Arlington Heights, and Syed Mehdi Hussain, 32, of Carol Stream, owned and operated purported medical laboratories that submitted fraudulent claims to Medicare for the reimbursement of over-the-counter COVID-19 test kits allegedly provided to Medicare beneficiaries. The defendants allegedly installed foreign nationals to act as nominee owners at the laboratories to submit fraudulent claims to Medicare for the provision of over-the-counter COVID-19 test kits, with the understanding the nominee owners would flee the United States when they learned that their laboratory was under investigation.

"As alleged, the defendants used straw owners at multiple laboratories to cause the submission of more than \$200 million in fraudulent claims to Medicare for COVID-19 test kits," said Matthew R. Galeotti, Head of the Justice Department's Criminal Division. "Health care fraud harms Americans by squandering taxpayer money and diverting limited resources from those who need them most. The Criminal Division will continue to aggressively prosecute these crimes to hold fraudsters accountable, protect victims, and recover financial losses."

"The overwhelming fraud uncovered in this investigation details a blatant disregard for America's critical health care program, Medicare, and puts all patients at risk," said Special Agent in Charge Douglas S. DePodesta of the FBI Chicago Field Office. "The FBI and our partners will not tolerate anyone who abuses the health care system for personal gain and will aggressively pursue justice on behalf of both patients and taxpayers."

"The submission of fraudulent claims to Medicare for products or services not dispensed or not medically necessary undermines the integrity of this valuable program, intended to protect the most vulnerable in our community," said Deputy Inspector General for Investigations Christian J. Schrank of the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG). "Today's

arrests demonstrate our unwavering commitment, working in conjunction with our law enforcement partners, to identify, investigate and bring to justice those who seek to defraud our nation’s federal healthcare programs.”

As alleged in the indictment, the defendants rarely provided Covid-19 test kits to Medicare beneficiaries but instead submitted reimbursement claims on behalf of beneficiaries who had not requested COVID-19 test kits, including individuals who were deceased. Further, the defendants allegedly paid a marketing company to provide the names of hundreds of thousands of Medicare beneficiaries that the defendants used to submit fraudulent claims. In total, between September 2022 and June 2023, the defendants’ labs billed Medicare approximately \$227 million in fraudulent claims, of which Medicare paid approximately \$136 million in reimbursements.

Kablazada and Hussain are both charged by indictment with four counts of health care fraud. If convicted, they face a maximum penalty of 10 years in prison on each of the four counts.

The FBI Chicago Field Office and HHS-OIG are investigating the case.

Trial Attorney Andres Q. Almendarez of the Criminal Division’s Fraud Section is prosecuting the case, with assistance from Assistant U.S. Attorney Jasmina Vajzovic for the Northern District of Illinois.

The Fraud Section leads the Criminal Division’s efforts to combat health care fraud through the Health Care Fraud Strike Force Program. Since March 2007, this program, currently comprised of 9 strike forces operating in 27 federal districts, has charged more than 5,800 defendants who collectively have billed federal health care programs and private insurers more than \$30 billion. In addition, the Centers for Medicare & Medicaid Services, working in conjunction with the Office of the Inspector General for the Department of Health and Human Services, are taking steps to hold providers accountable for their involvement in health care fraud schemes. More information can be found at www.justice.gov/criminal-fraud/health-care-fraud-unit.

An indictment is merely an allegation. All defendants are presumed innocent until proven guilty beyond a reasonable doubt in a court of law.

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